

S001 - Settlement Reconciliation Hardening: Project Status

Project Status Report | Operations

Document ID	PRJ-S001-003	Seller ID	S001
Department	Operations	Classification	CONFIDENTIAL
Owner	Neha Gupta	Created Date	2026-09-01
Related Scenario ID	SC-001	Document Type	Project Status Report

1. Status Summary

Field	Value
Project name	Settlement Reconciliation Hardening
Project code	PRJ-S001-SRH
Triggering event	SC-001, settlement shortfall of 12 March 2026
Reporting period	1 August 2026 to 31 August 2026
Overall status	Amber
Schedule	One workstream behind by three weeks
Budget	Within approved effort
Operations owner	Neha Gupta
Engineering owner	Vikram Singh
Business stakeholder	Aditya Verma

Status is Amber because the seller-facing variance statement has slipped to October. The two controls that prevent a recurrence of SC-001 are live.

2. Background

On 12 March 2026 the settlement batch covering 5 to 9 March 2026 paid S001 INR 4,82,000 less than expected. Engineering established that the settlement ledger deduplication key had been changed during the v1.8 to v1.9 schema migration and no longer included the order identifier for reversal entries. When the batch was reprocessed after a transient job failure, 1,914 reversal entries were deducted twice.

The immediate defect was fixed and the shortfall was credited on 14 March 2026. This project addresses the broader finding from that incident: the platform had no automated control that would have detected a settlement variance before the seller did.

3. Workstreams

ID	Workstream	Status	Target	Owner
WS-1	Ledger invariant checks	Complete	2026-05-29	Vikram Singh
WS-2	Automated variance detection	Complete	2026-07-10	Vikram Singh

ID	Workstream	Status	Target	Owner
WS-3	Reprocessing safety controls	Complete	2026-07-31	Neha Gupta
WS-4	Seller-facing variance statement	Behind	2026-10-16	Neha Gupta
WS-5	Reconciliation runbook update	In progress	2026-09-26	Neha Gupta

3.1 WS-1 Ledger Invariant Checks

A set of invariants now runs against every settlement batch before payout is authorised. The checks confirm that each reversal entry maps to exactly one originating order line, that the sum of entry types reconciles to the batch net, and that no entry appears more than once under its composite key.

The invariant that would have caught SC-001 is the third one. It was back-tested against twelve months of historical batches and found two further low-value anomalies from 2025, both since corrected.

3.2 WS-2 Automated Variance Detection

Each cycle is compared against a predicted payout derived from order and return events. Any seller whose variance exceeds 0.75 percent, or INR 50,000 in absolute terms, raises an operations alert before payout rather than after.

Since go-live on 10 July 2026 the control has raised four alerts across all sellers. Three were legitimate commercial adjustments. One, on 14 August 2026, was a genuine mapping error on a different account and was corrected before payout.

3.3 WS-3 Reprocessing Safety Controls

The trigger condition in SC-001 was a reprocessing run after a transient job failure. Reprocessing is now idempotent by construction: a batch carries a processing token, and a second run with the same token is rejected unless an operator explicitly authorises a replay with a documented reason.

3.4 WS-4 Seller-Facing Variance Statement

The intent is to give sellers a per-cycle statement showing predicted versus actual payout with an explanation of each difference, so that a seller's own finance team can reconcile without raising a ticket.

This workstream is three weeks behind. The delay is a dependency: the statement needs the settlement report endpoint to expose adjustment reason codes, and that change was deprioritised behind the July order API remediation. Revised target is 16 October 2026.

3.5 WS-5 Reconciliation Runbook Update

The Payment Recovery Runbook (OPS-RB-004) is being updated to reflect the new controls, specifically the authorised-replay path introduced by WS-3 and the alert handling introduced by WS-2. Draft is with Operations for review.

4. Measures

Measure	Baseline (Q1 2026)	Current (Aug 2026)	Target
Settlement variances detected before payout	0 percent	100 percent of alerted cases	100 percent
Mean time to detect a settlement defect	4 days (seller-reported)	Under 2 hours	Under 4 hours

Measure	Baseline (Q1 2026)	Current (Aug 2026)	Target
Seller-raised settlement queries, S001	6 per quarter	2 in Q3 2026	2 or fewer
Unauthorised batch reprocessing events	Not measured	0	0

5. Risks and Issues

ID	Description	Severity	Mitigation
R-1	WS-4 slips past the festive peak	Medium	Freeze exemption requested for a low-risk read-only change
R-2	Alert fatigue from variance thresholds	Low	Thresholds reviewed monthly; four alerts in seven weeks is sustainable
R-3	Runbook update lags control go-live	Medium	Interim operator note issued on 2026-07-31

6. Seller Position

Aditya Verma briefed Ritika Bansal on 28 August 2026. Aurelia's finance team confirmed that the two settlement cycles since the controls went live reconciled cleanly at their end. Aurelia has asked to be an early consumer of the variance statement when WS-4 is delivered.

7. Next Period

1. Complete WS-5 runbook update by 26 September 2026.
2. Obtain freeze exemption decision for WS-4 by 30 September 2026.
3. Deliver WS-4 to Aurelia by 16 October 2026 if the exemption is granted.
4. Close the project with a post-implementation review in November 2026.